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Exchange with DE-CIX

We speak to DE-CIX to better understand how internet exchanges operate and the benefits it offers to the end user

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Q Can you tell us a bit about DE-CIX and their operations in India?

Sudhir: 25 years ago, this organisation was set up with the intent of doing well for the community, and making the internet more affordable. We ensure that the users are on a single platform, whereby each network or content has the ability to connect with each other, thereby ensuring that the domestic raw bandwidth consumption is minimised. Assume that you are an ISP with residential and commercial customers, if you peer with us, you end up saving about 80 to 90 percent of your cost. That is one part of it, the other part is you find extremely high levels of customer satisfaction because of reduced latency and higher efficiency.

Q Who are parties that get involved in a peering agreement?

Sudhir: On the A side you have the content providers such as Facebook, Google, Netflix and Amazon, and on the B side you have the ISPs. We make these two ends meet on the exchange. If I were to give you an example today, I am sure you would have seen the work from home environment getting developed. There was a huge surge of demand from people who are at their residences. Before this, the Internet was not a luxury, but was not exactly a must have either. Now, it is a must have. In this scenario, if you don't have peering, what typically happens is that you will not be able to upgrade quickly because the telcos have their own capacity constraints, the backhaul needs to be upgraded, the last miles have their own issues of delivery. But, if you have peering, the majority workload that is there on that particular user gets moved. For particular segments such as OTT and content, we saw 950 percent surge during the COVID times. In gaming for example, we saw a 555 percent surge. ISP traffic grew by around 140 percent. Since we were technologically astute and we had the foresight to build a network which was ready to take on this, we were able to serve this kind of a sudden

requirement. What happened is the customer is working from home and then he wants to unwind, if Amazon or Netflix does not work then it becomes a problem for the service provider. If the service provider is peered with DE-CIX, that change is seamless to the customer. That is the value add that people saw in exchanges in a live test environment. Those who were able to reach our exchanges were easily able to get their customers satisfied, and also have decent economies of scale for themselves.

Q Can you give us an idea of what kinds of relationships are there between CDNs, ISPs, a cloud service provider and exchanges?

Sudhir: ISP segment is where the reach eventually goes from the CDNs we have on the platform. The ISPs take it to the eventual end customers. The CDNs and OTTs reside in the platform, on the other end you have your ISP which is where the interconnection becomes successful because there is a synergy between the two of them. This way the organisation is helping ISPs to optimise their raw internet bandwidth consumption at an extremely affordable rate. And then, the same thing is used by these players hopefully to get their infrastructure in a better shape. You see a lot of these private players today having fibre to home, which eventually has helped a lot of people during these COVID times. Those networks that were on the old CAT5 could not meet the kind of demand that they were getting from the customers. But people who took our services, people who optimised their costs, then reinvested that in their business have really seen huge customer delight.

Q How does the exchange play a role in next gen tech?

Sudhir: Currently, anything and everything that requires acceleration, whether it is 5G, IoT or AI, the thing you want to talk about is latency. You are on a extremely low latency because of the exchange that you have. We are future ready in terms of getting these onto our platform. Very soon you will see a large telco in India announcing what, I don't know, but I am sure we will be able to say that they have been able to establish a direct connect with us. 